canoLiq

CLIQ Token Design & Protocol Economics

Tokenomics Document v1.2 — May 2025

Total Supply

100,000,000 CLIQ

Fixed Supply — No Additional Minting

1. Token Overview & Design Philosophy

CLIQ is the governance and value-capture token of canoLiq. Its design is deliberately minimal in emission complexity: CLIQ is not a high-emission farming token meant to subsidize yield. Instead, it is a governance asset that captures protocol value through fee-funded buybacks and aligns long-term holders with protocol success.

Property	Specification
Token Name	CLIQ
Total Supply	100,000,000 (fixed; no minting after genesis)
Protocol	canoLiq on Canopy Network
Primary Utility	Governance voting + buyback value capture
Governance Model	Vote-escrowed lock (longer lock = higher voting weight)
Buyback Mechanism	15% of all protocol fees; default action is burn; DAO may vote quarterly to distribute to locked stakers
Secondary Token	cCNPY (yield-bearing liquid staking receipt; distinct from CLIQ)

2. Token Distribution

The distribution prioritizes two things: validator alignment (22%) and community ownership (20% + 15% treasury + 6% dev grants = 41%). Team and investor allocations are intentionally below the community total to reflect a protocol-first governance structure.

Allocation	Visual (each █ ≈ 5%)	Share	Tokens
Validators & Infra		**22%**	22M
Community & Airdrops		**20%**	20M
DAO Treasury		**15%**	15M
Liquidity Incentives		**15%**	15M
Founders & Team		**12%**	12M
Strategic Partners		**10%**	10M
Dev Grants & Ecosystem		**6%**	6M

2.1 Validators & Infrastructure — 22M CLIQ

The single largest allocation reflects canoLiq's dependency on validator quality. As described in the whitepaper, validators are professional node operators who run dedicated server infrastructure, bond their own CNPY as collateral, and accept direct slashing exposure on behalf of canoLiq users. This allocation compensates that operational risk and aligns validators as long-term protocol stakeholders.

- Vesting: 3-year linear with 12-month cliff
- Rationale for 12-month cliff: validators begin running production infrastructure from day one, but their CLIQ vesting should not unlock until the protocol has survived its first full year of mainnet operation — the highest-risk period. A 6-month cliff is insufficient given the operational commitment required.
- Eligibility: professional node operators registered with canoLiq, running canoLiq committee nodes with verifiable on-chain uptime metrics
- Performance-gating: underperforming validators (below minimum uptime threshold or subject to slashing) may have unvested allocation suspended or forfeited per DAO vote

2.2 Community & Airdrops — 20M CLIQ

Distributed to CNPY stakers, early canoLiq depositors, and Canopy ecosystem participants to bootstrap a broad, decentralized governance base. This bucket uses snapshot-based linear emission — it is distinct from Dev Grants, which use milestone-based tranches.

- Snapshot-based: eligibility determined at protocol launch based on Canopy staking history and early canoLiq deposit activity
- Distribution: 12-month linear daily emission per qualifying wallet (not milestone-gated)
- Anti-sybil: per-address caps and minimum CNPY stake requirement to qualify

2.3 DAO Treasury — 15M CLIQ

The canoLiq DAO treasury is the protocol's strategic reserve. Governed entirely by CLIQ holders through on-chain proposals with timelock enforcement.

- Time-locked multisig: 3-of-5 signer multisig with 48-hour timelock for standard spends, 7-day for large spends (> 1M CLIQ equivalent)
- Authorized uses: security audits, ecosystem grants, insurance fund seeding, cross-chain integrations
- Annual budget: treasury spend above a governance threshold requires full DAO vote

2.4 Liquidity Incentives — 15M CLIQ

Incentivizes DEX liquidity for cCNPY/CNPY and CLIQ pairs, reducing slippage for users entering and exiting positions.

- Emission period: 24 months post-mainnet
- Subsidy substitution: CNPY subsidies from Canopy DAO (see Section 5) are used first; CLIQ emissions activate only as needed, expected to reduce actual CLIQ emission from this bucket by 30–60%

- DAO-controlled emission rate: can be accelerated or slowed by governance vote

2.5 Founders & Core Team — 12M CLIQ

Team allocation with conservative vesting: 4-year linear with 12-month cliff. No early unlocks. Team tokens are subject to the same on-chain vesting contracts as all other allocations.

2.6 Strategic Partners — 10M CLIQ

Reserved for ecosystem partnerships: Canopy ecosystem projects, CEX listings, institutional delegators, and protocol integrations.

- 18-month linear vesting with 6-month cliff
- Partner criteria and allocations subject to DAO approval above 500K CLIQ per partner

2.7 Developer Grants & Ecosystem — 6M CLIQ

Milestone-based grants to teams building on or integrating with canoLiq (e.g., DeFi protocols using cCNPY as collateral, tooling, analytics dashboards). Unlike Community & Airdrops, this bucket is milestone-gated — grants are released in tranches upon delivery of agreed deliverables.

3. Protocol Fee Model

canoLiq generates revenue by applying a protocol fee to the staking rewards it receives from Canopy committee participation. This is the sole source of protocol revenue and drives all value accrual to CLIQ holders.

3.1 Fee Calculation

> **Fee Formula**
> Protocol Fee = 12% × (Staking Rewards Received by canoLiq from Committee Participation)
> Effective user yield = 88% × Rewards Received + 40% × 12% × Rewards Received = 92.8% of Rewards Received

3.2 Fee Distribution

Recipient	% of Fee	Effective % of Rewards	Mechanism
cCNPY Holders	40%	4.8%	Reinvested; increases exchange rate for all cCNPY holders

Recipient	% of Fee	Effective % of Rewards	Mechanism
canoLiq DAO Treasury	30%	3.6%	Accumulated in treasury pool; DAO-controlled deployment
Validators & Infra	15%	1.8%	Paid to active committee validators; uptime-weighted
CLIQ Buyback	15%	1.8%	Open-market CLIQ purchase; default action is Burn. DAO may vote quarterly to distribute to locked CLIQ stakers instead of burning.

3.3 Fee Rate Governance

The 12% default fee rate is governance-controlled. CLIQ holders may vote to adjust within the protocol-defined bounds of 5% to 20%. Changes require a standard governance proposal with a 48-hour timelock.

4. CLIQ Value Accrual Mechanics

4.1 Buyback Engine

15% of all protocol fees are deployed to purchase CLIQ on the open market. The default action for purchased CLIQ is to burn it, reducing circulating supply permanently. Quarterly, CLIQ holders may vote to redirect buyback proceeds to locked CLIQ stakers (as a governance yield) instead of burning. This creates persistent buy-side pressure proportional to protocol TVL and yield regardless of the chosen distribution method.

TVL Scenario (CNPY)	Assumed APY	Annual Fees to Protocol	Annual CLIQ Buyback (15%)
$5M	8%	$48,000	$7,200
$25M	8%	$240,000	$36,000
$100M	8%	$960,000	$144,000
$500M	8%	$4,800,000	$720,000

Note: Illustrative only. Actual yields depend on CNPY emission schedule, committee competition, and Canopy network activity. Protocol fee applies to net rewards received by canoLiq after Canopy’s on-chain reward distribution.

4.2 Vote-Escrow Boost

CLIQ stakers who time-lock their tokens receive boosted governance power and a larger share of fee-derived rewards (when DAO votes to distribute rather than burn). The proposed lock multiplier schedule:

Lock Duration	Voting Multiplier	Reward Share Boost
No lock	1×	Base rate
3 months	1.5×	+10%
6 months	2×	+25%
12 months	3×	+50%
24 months	4×	+75%

5. Canopy Subsidy Integration

Understanding why CNPY subsidies matter for CLIQ tokenomics requires first understanding the problem they solve: the bootstrap dilemma.

5.1 The Bootstrap Dilemma

Every new DeFi protocol needs liquidity to be useful, but needs to be useful to attract liquidity. The standard solution — liquidity mining — pays early users in the protocol's own token (CLIQ) to deposit and provide DEX liquidity. It works, but it floods the market with freshly minted CLIQ before the protocol has proven its value, creating sell pressure that erodes the token price for everyone.

canoLiq's approach is to use CNPY — subsidized from Canopy DAO — as the bootstrap incentive instead of CLIQ. Early users are still rewarded for depositing and providing liquidity. But the reward comes in CNPY, not newly printed CLIQ. The 15M CLIQ liquidity allocation then stretches over 24+ months instead of being front-loaded into the first few months when the protocol is most vulnerable.

> **Why this matters for CLIQ holders**
> Every CLIQ that is NOT emitted in months 1–6 is CLIQ that is not sold by mercenary farmers. Subsidy substitution is the primary mechanism by which canoLiq's liquidity incentive budget preserves CLIQ value. It is not a secondary strategy — it is central to the tokenomics working as designed.

5.2 Auto-Subsidization Qualification

Canopy's protocol automatically distributes newly minted CNPY to committees that hold ≥ 33% of total network restake (the auto-subsidization threshold). canoLiq's goal is to qualify from day one by coordinating with launch validators to reach that threshold at mainnet, triggering CNPY emission to the committee pool from block one with zero additional CLIQ required.

5.3 Canopy DAO Manual Subsidy Proposal

In parallel with auto-subsidization, canoLiq will submit a formal manual subsidy proposal to Canopy DAO within 30 days of mainnet launch:

- Proposed duration: 6–12 months, or until TVL is self-sustaining without incentive support
- Proposed tranches: tied to TVL milestones — $500K, $2M, and $10M in CNPY deposits
- Commitment: monthly on-chain reporting of TVL, subsidy utilization, and protocol fee revenue to Canopy DAO as a condition of ongoing subsidy

Scenario	Effective CLIQ Emission (Liquidity Bucket, 24 mo.)	Impact on CLIQ Supply
No subsidy approved	15M CLIQ (full allocation, front-loaded)	Heavy early sell pressure; incentive runway exhausted by month 18
6-month CNPY subsidy	~8–10M CLIQ over 24 months	~30–45% reduction in early CLIQ emission; runway extended
12-month CNPY subsidy	~5–8M CLIQ over 24 months	~50–60% reduction; incentive pool active well beyond year 2

6. Vesting & Lock Schedule Summary

Allocation	Start	Cliff	Duration	Schedule
Validators & Infra	TGE	12 months	3 years	Linear monthly after cliff
Community & Airdrops	TGE	None	12 months	Snapshot-based; linear daily emission
DAO Treasury	TGE	N/A	Perpetual	DAO-governed release
Liquidity Incentives	TGE	None	24 months	DAO-controlled emission rate
Founders & Team	TGE	12 months	4 years	Linear monthly after cliff
Strategic Partners	TGE	6 months	18 months	Linear monthly after cliff
Dev Grants	Per milestone	Per grant	Per grant	Milestone-gated tranches

TGE = Token Generation Event (mainnet launch day). Cliff is included within the total vesting period — e.g., Validators: 12-month cliff then 24 months of linear release = 36 months total.

7. Governance Framework

CLIQ is the sole governance token for the canoLiq DAO. All protocol parameter changes, treasury actions, and strategic decisions require CLIQ holder votes.

Governance Action	Required Quorum	Approval Threshold	Timelock
Fee rate adjustment	5% of circulating supply	Simple majority (51%)	48 hours
Treasury spend (small)	5%	51%	48 hours
Treasury spend (large, > 1M CLIQ equiv.)	10%	67%	7 days
Emergency security action	8%	67%	24 hours (fast-track)
Validator ejection	5%	51%	48 hours
Protocol upgrade	10%	67%	7 days
Autonomy graduation vote	15%	75%	14 days

8. Token Risk Considerations

The following risks are material and should be evaluated by any CLIQ holder or CNPY depositor:

- Smart contract risk: bugs in canoLiq contracts could result in loss of deposited CNPY or incorrect fee accounting. Two independent audits mitigate but do not eliminate this risk.
- Slashing risk: canoLiq’s CNPY stake is exposed to committee slashing. cCNPY and CLIQ holders bear this risk proportionally. An insurance fund of 5% of DAO treasury — accumulated progressively from protocol fee income over the first 12 months, with a target of 5% of peak TVL — provides protection. Validator operators also bond their own CNPY as a first line of defense.
- CLIQ liquidity risk: early CLIQ markets may be illiquid. Large sellers may experience significant slippage. The buyback program (default: burn) provides structural buy-side support but not price guarantees.
- Governance centralization: if a single entity accumulates > 33% of circulating CLIQ, they can influence most governance votes. Quadratic voting or conviction voting may be explored to mitigate this post-launch.
- Canopy dependency: canoLiq’s economics are deeply tied to Canopy’s block reward schedule, committee rules, and subsidy decisions. Changes to Canopy’s protocol could materially affect canoLiq’s revenue.

9. Disclaimer

This document is provided for informational purposes only and does not constitute financial, legal, or investment advice. The tokenomics described herein are subject to change prior to and following mainnet launch. CLIQ and cCNPY tokens involve significant risk. All financial projections are illustrative and based on assumptions that may not materialize. Consult qualified legal and financial advisors before participating in canoLiq.

canoLiq — Liquid Staking on Canopy Network